WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

BOLIVIA

Americas

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
La Paz / El Alto	Seat of government and the executive, legislature and central bank; El Alto is a major logistics and trading hub on the Altiplano	Government relations, financial services, logistics, commerce
Santa Cruz de la Sierra	Largest city and commercial heart of the lowland economy, home to Bolivia's agribusiness and private-sector leadership	Agribusiness, soy and beef processing, retail, construction
Potosí / Salar de Uyuni (south-west)	Centre of silver and zinc mining and of the Uyuni salt flat, the focus of the state lithium programme and direct-lithium-extraction partnerships	Mining, lithium, mining services
Tarija and the Chaco (south)	Core natural-gas-producing region whose output a planned new hydrocarbons framework aims to revive	Upstream gas, oilfield services, energy infrastructure
Cochabamba	Central valley city linking the Andean west with the eastern lowlands, with a diversified manufacturing and services base	Manufacturing, agro-processing, logistics
Oruro	Western mining and transport node on the routes to Chilean and Peruvian Pacific ports	Mining, transport and logistics
Sucre	Constitutional capital and seat of the judiciary	Legal services, tourism, agro-industry

INVESTOR ENTRY ROUTES

- IMF 36-month Extended Fund Facility of about $1.9 billion, approved on 2 October 2026, anchoring a reform programme expected to catalyse over $5 billion including World Bank and IDB support
- Investment Promotion Law 516 (2014) as the current framework, with a new investment law in preparation that would limit unilateral nationalisation, open access to international arbitration and create a National Investment Agency
- Banco Central de Bolivia (BCB) management of a more flexible, market-based exchange rate following the end of the 15-year dollar peg in June 2026; the IMF programme targets a market-based foreign-exchange system
- Lithium partnerships through Yacimientos de Litio Bolivianos (YLB), including direct-lithium-extraction calls and a negotiation agreement with EAU Lithium, subject to a new legal framework

- Hydrocarbons participation via YPFB, with planned legislation to reopen the sector to foreign investment through lower royalties and reduced required state participation
- Mining sector entry through partnerships and contracts in silver, zinc and gold, the largest recipient of foreign direct investment in 2025

MARKET-ENTRY OBSERVATION

Bolivia in October 2026 is in the midst of its most significant economic opening in a generation. Since President Rodrigo Paz took office in November 2025, the government has ended the 15-year dollar peg (the boliviano now trades around 12 per dollar against the former 6.96), removed the diesel subsidy, secured an IMF Extended Fund Facility of about $1.9 billion approved on 2 October with more than two-thirds support in both chambers of the legislature, and restored diplomatic relations with the United States. Early results are encouraging: annual inflation has fallen from 20.4% at end-2025 to 5.7% in September 2026, exports rose 55% to $6.4 billion in the first half of 2026 on strong gold, silver and zinc sales, net international reserves have risen to $3.93 billion, and Moody's upgraded Bolivia to Caa2 with a positive outlook on 30 September. Foreign direct investment reached $1.02 billion gross ($620 million net) in 2025, led by mining (41.9%) and manufacturing (26.8%).

Bolivia's central task is completing the adjustment from a gas-and-subsidy model to a market-based, export-diversified economy. Gas output has fallen from over 60 million cubic metres a day in 2014 to about 24 million in 2025, and the transition is weighing on activity, with the World Bank projecting a 3.2% contraction in 2026 before 4% growth in 2027. The government is managing this through a sequenced programme: an IMF-anchored package of over $5 billion with the World Bank and IDB, fuel prices moving to cost recovery from January 2027 with more resources for social protection, and planned investment, hydrocarbons and mining legislation to bring in private capital. For investors, this creates an early-mover window in lithium, mining, gas, agribusiness and the infrastructure needed to support them, at a point where reforms are being locked in.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Macroeconomic adjustment and growth	Output contracted 1.6% in 2025 and the World Bank projects a further 3.2% decline in 2026 as subsidies are removed and the currency adjusts	Time entry to the reform cycle; the IMF programme, falling inflation and a projected return to 4% growth in 2027 support a recovery case
Foreign-exchange availability and currency	The boliviano moved from 6.96 to around 12 per dollar after the peg ended in June 2026, and reserves of $3.93 billion are about 87% gold	Hedge local-currency exposure, structure export-earning projects to generate dollars, and track the move to a fully market-based FX system under the IMF programme
Legal framework in transition	The new investment, hydrocarbons and mining laws are still in preparation, with the investment law expected by March 2027 and some arbitration provisions debated in the legislature	Engage early through legal counsel and business associations, and build contractual protections around the final text
Social response to reforms	Union and farmer blockades have disrupted transport during the adjustment, and a state of emergency banning road blockades runs to 17 December 2026	Build logistics contingency into planning; expanded social-protection spending under the IMF programme is designed to broaden support for reform
Declining gas production	Gas export revenue fell from over $6 billion in 2014 to $1.1 billion in 2025, and Bolivia imports about 95% of its diesel	Planned hydrocarbons reform with lower royalties creates openings for upstream exploration and fuel-supply investment
Lithium contract uncertainty	Lithium contracts with Chinese and Russian firms signed in 2024 await legislative approval, and no industrialisation contract has yet been signed under the new government	Position through YLB's direct-lithium-extraction process and the forthcoming legal framework, where Western partners are already engaged
Sovereign credit standing	Bolivia's rating remains in the Caa category, raising the cost of external finance	The September 2026 Moody's upgrade with a positive outlook signals improvement; DFI co-financing from the IDB, World Bank and Fonplata can mitigate

Issue	Potential Impact	Possible Mitigation
		funding costs

INVESTOR RISK NOTE

Bolivia's risk profile is that of a country part-way through a decisive, internationally backed reform programme. The facts are clear: growth is negative in 2025–26, reserves remain modest at $3.93 billion and largely held in gold, the boliviano has moved from 6.96 to around 12 per dollar since June, and reforms have met protest. Equally clear is the direction of travel: inflation has fallen from 20.4% to 5.7% within the year, exports and reserves are rising, the IMF Executive Board has approved a $1.9 billion programme with broad legislative backing, and Moody's has upgraded the sovereign with a positive outlook. The principal considerations for investors are the pace of legal reform in lithium, hydrocarbons and investment protection, and continued access to foreign exchange. Investors who engage now, with sound legal structuring, currency hedging and DFI partners, can secure positions ahead of the improved framework expected during 2027.

MARKET ACCESS

Bolivia became a full member of Mercosur in July 2024 and is phasing in its rules, giving it a foothold in the bloc with Brazil, Argentina, Paraguay and Uruguay; it is also a member of the Andean Community and the WTO. Bolivia is not party to the EU–Mercosur agreement provisionally applied since May 2026, but its government is seeking to join through specific negotiations, which would open a significant new route to European markets. Exports reached $9.7 billion in 2025 and are rising strongly in 2026, led by gold, silver, zinc, soy derivatives and specialty foods such as quinoa, chia and Brazil nuts. As a landlocked country at the heart of South America, Bolivia moves trade through Pacific ports in Chile and Peru and eastward via the Paraguay–Paraná river system and road links to Brazil, positioning it as a natural bridge between Mercosur and the Pacific.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Rodrigo Paz)	Leads the economic opening, IMF programme, subsidy reform and renewed engagement with the United States and Western partners	Primary reference point for Bolivia's reform direction and sector priorities
Ministry of Economy and Public Finance	Leads the IMF programme, fiscal reform and the new investment law, including the proposed National Investment Agency	Key counterpart for incentives, tax and investment-framework matters
Banco Central de Bolivia (BCB)	Monetary authority managing the transition to a flexible exchange rate and the rebuilding of reserves	Relevant for FX access, repatriation and banking-sector matters
YPFB (Yacimientos Petrolíferos Fiscales Bolivianos)	State hydrocarbons company and central counterpart for upstream gas, fuel imports and downstream investment	Essential partner for energy-sector engagement under the planned hydrocarbons reform
YLB (Yacimientos de Litio Bolivianos)	State lithium company running the direct-lithium-extraction partnership calls for the Uyuni salt flat	Entry point for lithium and battery-materials opportunities
Ministry of Mining and Metallurgy	Oversees the mining sector, now Bolivia's leading source of foreign exchange and FDI	Relevant for mining concessions, partnerships and the planned mining law
Plurinational Legislative Assembly	Approves international loans, lithium contracts and the forthcoming investment, hydrocarbons and mining laws	Important for tracking legislative timelines and reform durability

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Confederation of Private Entrepreneurs of Bolivia (CEPB) and the Santa Cruz chamber of industry and commerce (CAINCO) are the leading domestic business bodies, and the Bolivian Institute of Foreign Trade (IBCE) is a valuable source of trade data and export-sector contacts. The American Chamber of Commerce of Bolivia and bilateral chambers, including the British-Bolivian Chamber of Commerce, provide links for international investors, a role strengthened by the restoration of US–Bolivia diplomatic relations. The IMF programme is catalysing financing from the World Bank, the Inter-American Development Bank and Fonplata, whose country programmes offer co-financing and project-preparation support. Mining and energy companies already operating in Bolivia, including Petrobras and TotalEnergies in gas, are a practical source of sector intelligence.

INVESTOR PROFILE BEST SUITED

Bolivia suits investors with a medium- to long-term horizon who are comfortable entering during a reform cycle: mining and battery-materials investors drawn by silver, zinc, gold and the lithium resources of the Uyuni salt flat; energy companies ready to participate in upstream gas and fuel-supply investment as the hydrocarbons framework opens; agribusiness and food investors building on Santa Cruz's soy, beef and specialty-crop exports; and infrastructure and logistics investors, often alongside development finance institutions, linking Bolivia with Mercosur and Pacific ports. Export-oriented projects that earn foreign currency are particularly well placed during the exchange-rate transition.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Track the reform timetable and IMF programme reviews
Follow quarterly IMF reviews, fuel-price normalisation from January 2027 and the passage of the investment, hydrocarbons and mining laws to time commitments.

STEP 2: Engage the Ministry of Economy and sector state companies early
Open dialogue with the Ministry of Economy, YPFB and YLB to understand partnership models and help shape implementing regulations.

STEP 3: Build currency and repatriation planning into project design
Model exchange-rate scenarios, prioritise export-earning structures and confirm FX access arrangements with the BCB and local banks.

STEP 4: Partner with development finance institutions
Explore co-financing and risk-sharing with the World Bank, IDB and Fonplata, which are expanding support alongside the IMF programme.

STEP 5: Build local networks through Santa Cruz and La Paz business bodies
Use CEPB, CAINCO, IBCE and bilateral chambers for market intelligence, local partners and logistics planning.